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THE CRYPTO TAX SURVIVAL PLAYBOOK

India FY 2026-27 Edition - the complete guide to the 30% flat tax, the 1% TDS, Schedule VDA, the new Income-tax Act 2025, and the reporting net that now sees every trade

12 chapters - 5 appendices - worked examples throughout
Verified against the Income-tax Act, 2025, the Income-tax Rules, 2026,
CBDT circulars and notifications, and the Union Budget 2026-27

BUILT FOR INDIAN INVESTORS - TRADERS - MINERS - STAKERS - DEFI USERS

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INTRODUCTION

How to Use This Playbook

If you have bought, sold, swapped, mined, staked or been airdropped any cryptocurrency in India, this book is for you. It explains, in plain English, exactly how the tax department sees your crypto activity, what you owe, when you owe it, and what the department already knows about you.

Everything here is written for Tax Year 2026-27 (income earned between 1 April 2026 and 31 March 2027) and verified against the Income-tax Act, 2025 (in force from 1 April 2026), the Income-tax Rules, 2026, CBDT circulars and notifications, and the Union Budget 2026-27. Where tax professionals disagree about an unsettled point, we say so honestly instead of pretending the law is clearer than it is.

What you will find inside

- Chapters 1 to 3 explain what changed in 2026, what counts as a taxable asset, and how the 30 percent flat tax actually works.
- Chapters 4 and 5 list every kind of transaction that triggers tax, including the ones people do not realise are taxable.
- Chapters 6 and 7 cover the 1 percent TDS, including the compliance duties that fall on you personally when you trade peer-to-peer or on foreign platforms.
- Chapters 8 and 9 walk you through filing the return and paying advance tax, step by step.
- Chapters 10 and 11 cover the notice wave that started in 2026 and the records you must keep. Chapter 12 works fifteen real situations through the rules, and chapter 13 gives your full-year compliance calendar.
- The appendices give you a section-number crosswalk, quick-reference tables, a FAQ and a glossary.

How to read it

Read chapters 1 to 3 first even if you are in a hurry. They carry the framing that makes everything else make sense. If you have already filed returns and are worried about past mistakes, go straight to chapter 10 on notices and the updated return. Worked examples use realistic rupee amounts and Indian names so you can map them onto your own trades.

A note on scope: this playbook explains the law and the compliance process. It is education, not professional advice, and it does not factor in your personal circumstances. For anything unusual (large volumes, foreign residency, DeFi-heavy activity, or an actual notice in hand), take help from a chartered accountant who works on virtual digital asset cases. A consultation fee is far cheaper than a penalty.

CHAPTER 1

1. Why This Year Is Different

For four years, Indian crypto investors lived under one law: pay 30 percent on gains, absorb a 1 percent TDS on every sale, and report each transaction in Schedule VDA. The arithmetic was harsh but stable. In 2026, the arithmetic stayed exactly the same while everything around it changed. Three changes, specifically, make this the year to get your crypto tax house in order.

Change one: the new Income-tax Act, 2025

The Income-tax Act, 1961, the law your parents grew up with, was replaced by the Income-tax Act, 2025, which received Presidential assent on 21 August 2025 and came into force on 1 April 2026. The crypto tax rules themselves carried over unchanged: the 30 percent flat rate, the 1 percent TDS, the ban on setting off losses. But the section numbers moved. What was Section 115BBH is now Section 194(1). What was Section 194S is now Section 393(1). What was Section 56(2)(x) is now Section 92. The Act also replaced 'Assessment Year' and 'Previous Year' with a single term, 'Tax Year'.

For you, this matters in one place: reading. Every article, every tool and every notice you see this year will mix old and new section numbers. If an exchange statement says TDS was deducted under Section 194S and a department notice says Section 393, they are talking about the same deduction. Appendix A has the full crosswalk table so you are never confused. The compliance burden itself is unchanged, but you now need both vocabularies.

Change two: every exchange is reporting your transactions

Section 509 of the new Act (the old Section 285BAA) obliges crypto exchanges and similar platforms, formally called Reporting Crypto-Asset Service Providers (RCASPs), to file detailed statements about their users with the tax department. The mechanics live in Rules 241 to 244 of the Income-tax Rules, 2026, and the statement itself is Form 167.

This is not a minor formality. For every reportable user, the platform must report, for each crypto-asset type: acquisitions and disposals against rupees, crypto-to-crypto trades, retail payment transactions, transfers between platforms, and transfers to wallet addresses not known to belong to a service provider. That last category includes money you moved to your own hardware wallet. The first reporting period covers calendar year 2026, with the first statements due by 31 May 2027. Records must be kept for at least seven years.

The department is serious about enforcement on the reporting side too. The Finance Bill, 2026 added penalties through Section 446: Rs. 200 per day for as long as a required statement goes unfilled, and a flat Rs. 50,000 where incorrect information is not corrected after the department flags it. Platforms will therefore report carefully, which means what you declare has to match what they file.

Change three: foreign platforms start sharing your data in 2027

India helped design the OECD's Crypto-Asset Reporting Framework (CARF), the crypto version of the automatic bank-data exchange that already catches offshore account holders. On 5 March 2026, the CBDT issued Notification No. 19/2026, amending Rules 114F, 114G and 114H to bring crypto-assets into the reporting net. From April 2027, foreign platforms such as Binance, Bybit, OKX and Kraken will begin transmitting Indian users' transaction data to the CBDT.

During the Budget 2026-27 debate in Parliament, members cited tax authority estimates that roughly 73 percent of Indian VDA trading volume already flows through foreign platforms, precisely because they do not deduct the 1 percent TDS. That refuge is closing. Trades you made on offshore platforms in 2025 and 2026 will be visible to the department soon after the exchanges begin exchanging data under CARF. The smart move is to voluntarily get compliant before the data arrives, using the updated-return route described in chapter 10.

The enforcement wave has already started

This is not a future risk. In September 2026, the Income Tax Department began issuing crypto notices to thousands of individuals based on mismatches between their filed returns and third-party data: TDS filings under the old Section 194S, AIS entries reported by Indian exchanges, and exchange records. The pattern the department is looking for is simple: TDS appears against your PAN but no corresponding income appears in your return. Fewer than one in four known crypto transactors filed correct returns, according to figures cited in Parliament during the Budget 2026-27 debate.

The scale is large. Tax authority estimates cited in the same debate put the number of Indian crypto investors at about 39 million, holding roughly 2.1 billion dollars in assets, as of end-May 2026. India has also ranked first in Chainalysis' Global Crypto Adoption Index for three consecutive years. A population that size, with compliance rates that low, sitting on a fully reported transaction trail, is exactly what a data-matching enforcement drive looks like.

What has not changed

- The 30 percent flat tax on gains from transferring virtual digital assets, plus surcharge and cess.
- Only the cost of acquisition is deductible. No fees, no electricity, no subscriptions.
- Losses on one asset cannot be set off against gains on another, or against any other income, and cannot be carried forward.
- The 1 percent TDS on transfers, and its thresholds.
- Reporting through Schedule VDA in ITR-2 or ITR-3.

Budget 2026-27 left all of this untouched. Industry bodies asked for relief, including a TDS cut to 0.01 percent and a higher threshold; the government declined. Plan on this regime continuing through the year, and treat any future change as a bonus, not a strategy.

Bottom line: the tax you owe is the same as last year. What is new is visibility. Every trade you make in 2026 sits on a reporting trail that the department can match against your return automatically. The rest of this book is about making sure that match comes out clean.

CHAPTER 2

2. What Counts as a VDA

Everything in this book hinges on one classification: is what you hold a virtual digital asset (VDA) or not? The definition in the law is deliberately wide, and it is defined in Section 2(111) of the new Act (the old Section 2(47A) of the 1961 Act).

The definition, plainly

A VDA is any information or code, number, token or thing generated through cryptographic means or otherwise, that provides a digital representation of value exchanged with the promise of having inherent value, or functioning as a store of value or a unit of account. It also includes anything the government notifies, and the definition was written to catch codes and numbers used in financial transactions on information networks. In practice, if you can trade it on an exchange and it is not a government currency or a security, the department treats it as a VDA.

Definitely inside the net

- Bitcoin, Ethereum, Solana, XRP, Dogecoin and every other tradeable cryptocurrency.
- Stablecoins such as USDT and USDC. The rupee or dollar peg does not exempt them; a stablecoin is still a token traded on a network, so it is a VDA.
- Non-fungible tokens (NFTs), including digital art and collectibles.
- Governance and utility tokens issued by projects and dApps.
- Wrapped tokens (for example wrapped Bitcoin on another chain) and bridge assets.
- Liquidity pool tokens received for supplying crypto to a DeFi protocol.

Outside the net

The CBDT excluded certain items from the VDA definition through its 2022 notification. The exclusions that matter to ordinary users are:

- Gift cards, vouchers and subscription cards that can only be redeemed against goods and services from the issuing business.
- Subscription or loyalty tokens that cannot be traded or transferred for value, such as reward points in shopping apps and airline miles.
- Mileage, reward and bonus programmes that do not represent tradeable value.
- The digital rupee, India's central bank digital currency (CBDC). It is treated as currency, not as a VDA, so using it is not a VDA transfer.

National fiat currencies, including rupees in your bank account and foreign currency notes, are obviously not VDAs. The line to remember: if it is a token that trades for a price, it is in; if it is a coupon that redeems, it is out.

Why classification matters

Say you receive reward points from a shopping app worth Rs. 3,000 and sell Bitcoin worth Rs. 3,000. The first is not a VDA transaction and has no reporting. The second is a VDA transfer: it attracts the 30 percent rate on any gain, is reported in Schedule VDA, and sits on the exchange's reporting trail. Same rupee value, completely different consequences. Getting the classification right is the first step in getting everything else right.

When in doubt, treat it as a VDA. The definition is wide enough that the department reads it broadly, and over-reporting a marginal item costs you a little tax, while under-reporting costs you interest and penalties. If the amounts are large, ask a CA before deciding.

CHAPTER 3

3. The 30 Percent Rule, Fully Explained

Section 194(1) of the Income-tax Act, 2025 (the old Section 115BBH) is the heart of Indian crypto tax. Every rupee of income from transferring a VDA is taxed at a flat 30 percent, plus surcharge and cess. The section is short but brutal, and each of its rules trips up investors who assume crypto works like shares. It does not.

The five hard rules

- Flat 30 percent, whatever your income. A student with no other income and a company director in the top bracket both pay the same 30 percent on VDA gains. Your slab rate is irrelevant.
- Only the cost of acquisition is deductible. The purchase price of the tokens, nothing else. Exchange fees, gas fees, brokerage, internet and electricity cannot be deducted.
- No set-off of losses. A loss on Bitcoin cannot offset a gain on Ethereum. It cannot offset salary, interest or any other income. It cannot even offset a gain on another lot of Bitcoin.
- No carry-forward. VDA losses die in the year they occur. There is no eight-year carry-forward like capital losses.
- No exemptions or rebates apply. The basic exemption limit, the Section 87A rebate and Chapter VI-A deductions like 80C do not reduce VDA tax. Even Re. 1 of gain is taxed.

The effective rate in practice

The statutory rate is 30 percent, but you also pay surcharge (if your total income is high) and the 4 percent health and education cess. For most individual investors with total income below Rs. 50 lakh, no surcharge applies and the effective rate is 31.2 percent. Above that, the surcharge kicks in and the effective rate rises, as the table shows.

Total income (including VDA gains)	Surcharge	Effective rate on VDA gains
Up to Rs. 50 lakh	Nil	31.2%
Rs. 50 lakh to Rs. 1 crore	10%	34.32%
Rs. 1 crore to Rs. 2 crore	15%	35.88%
Rs. 2 crore to Rs. 5 crore	25%	39.00%
Above Rs. 5 crore	37%	42.73%

A worked example

Priya buys 0.1 Bitcoin for Rs. 5,00,000 in August 2026 and sells it for Rs. 8,00,000 in March 2027. Her gain is Rs. 3,00,000. Her tax on this gain is 30 percent of Rs. 3,00,000, which is Rs. 90,000, plus 4 percent cess of Rs. 3,600: Rs. 93,600 in total. It does not matter that she held for seven months (no long-term benefit exists), that she paid Rs. 2,500 in exchange fees (not deductible), or that her salary puts her in the 20 percent slab (the slab does not apply to VDA gains).

Why the loss rules hurt the most

The set-off ban is the rule that surprises people at filing time. Consider Rohan, who in one financial year makes a Rs. 5,00,000 gain on Bitcoin and a Rs. 2,00,000 loss on Ethereum. Intuition says he made Rs. 3,00,000. The law says he made Rs. 5,00,000, taxed at 31.2 percent: Rs. 1,56,000. The Rs. 2,00,000 loss is simply gone, and cannot be used against anything, ever.

This has a practical consequence for how you trade. Selling a loser does not create a tax shield, it only stops further losses. Harvesting losses to offset gains, a standard year-end move for share investors, achieves nothing in crypto. Each position stands entirely on its own.

How this compares with shares

Feature	Listed equity shares	Crypto / VDA
Rate on gains	12.5% long-term (above Rs. 1.25 lakh); 20% short-term	30% flat, plus cess
Holding period matters	Yes, above 12 months is long-term	No, irrelevant
Loss set-off	Allowed within capital gains; carry-forward 8 years	Not allowed at all
Deductible costs	Broader cost base	Cost of acquisition only
Exemption threshold	First Rs. 1.25 lakh of LTCG tax-free	None

The comparison explains why crypto tax is called the harshest personal-tax regime on any asset class in India. The planning implication is equally clear: because you cannot manage rate or holding period, the only levers you control are timing of sales, record quality, and accurate use of the cost basis you are allowed. The rest of this book is about those levers.

What counts as cost of acquisition

The cost of acquisition is what you actually paid to acquire the tokens, in rupees. For a purchase, it is the purchase price. For tokens received in a swap, it is the fair market value of what you gave up. For tokens received as a gift, it is the donor's original cost. For mined, staked or airdropped tokens, it is the fair market value on the date of receipt, the same value on which you paid tax when you received them. Chapter 5 walks through each of these in detail.

Keep every purchase record from the day you start. Since only cost of acquisition is deductible, that single number decides your entire tax bill on a sale. If you cannot prove cost, the department can treat the entire sale proceeds as gain.

CHAPTER 4

4. Every Event That Triggers Tax

The word 'transfer' in the law is defined broadly: sale, exchange, barter, or any relinquishment of the asset. What surprises investors is how many ordinary actions count. This chapter lists them all, so nothing on your year-end statement catches you off guard.

The full list of taxable events

Action	Tax consequence
Selling crypto for rupees	Gain taxed at 30%. The classic case.
Swapping one crypto for another	A transfer of the coin you gave up. Taxable even though no rupees reached your bank account.
P2P or OTC trade	Same as an exchange sale. Tax does not depend on the platform.
Paying for goods or services in crypto	You transferred the crypto, so a taxable event occurs at its market value.
Receiving crypto as payment for work	Income at fair market value on receipt (salary or business income), and later a 30% event when you sell.
Trading on a foreign exchange	Fully taxable. Residence means global income is taxed.
Receiving an airdrop or staking reward	Receipt-side income first (chapter 5), then 30% when you later sell.
Hard fork giving you new coins	Value of new tokens is income when received.

The trap inside crypto-to-crypto swaps

This is the single most under-reported event. When you trade 1 Ethereum for 40,000 rupees' worth of Solana, the law sees two things: you sold Ethereum (a 30 percent event on your Ethereum gain), and you bought Solana (which sets a new cost basis). Many investors treat a swap as 'still in crypto, no tax yet'. It is not. Every swap is a sale plus a purchase.

The trap compounds quickly for active traders: a chain of five swaps can generate five taxable gains, all in a year where you never withdrew a rupee. Each swap's fair market value in rupees becomes the consideration on one side and the cost basis on the other, so accurate records are everything. Chapter 8 shows how each swap becomes a row in Schedule VDA.

Spending crypto is selling crypto

If you buy a laptop for 60,000 rupees' worth of Bitcoin, you have transferred Bitcoin worth Rs. 60,000. If that Bitcoin cost you Rs. 40,000, you have a Rs. 20,000 gain, taxed at 30 percent. The merchant also has income (the sale price of the laptop) and now holds Bitcoin with a cost basis of Rs. 60,000. Very few merchants in India accept crypto directly, but the same logic applies to paying friends for a dinner or settling a freelancer invoice in tokens. If it leaves your wallet as payment, it is a transfer.

What is not taxable: moving between your own wallets

Transfers between accounts or wallets held by the same person are not taxable, because ownership does not change. Moving Bitcoin from an exchange to your hardware wallet, or from one Indian exchange to another, is not a transfer in the tax sense and does not trigger the 30 percent or the TDS.

Do not confuse this with the reporting side. Under the Form 167 regime, the exchange you move tokens from records the transfer and the destination wallet address in its reports. A non-taxable transfer is still a visible transfer. Keep the transaction IDs so you can show the movement was to your own wallet, especially if the destination is later used for trades that generate TDS.

Hard forks and airdropped new chains

When a chain splits and you receive new tokens, the fair market value of the new tokens at the time of receipt is income. The old tokens' cost basis stays where it was. In practice, Indian investors encountered this most prominently with chain splits and exchange-distribution fork coins; the treatment is the same: value at receipt is income, that value becomes the cost basis for the eventual sale.

Investor or trader?

The law has no crypto-specific test, but the classification matters for which ITR form you file. The factors professionals apply are frequency, volume, intention and manner of holding. If you buy and hold and transact a handful of times a year, you are an investor and the gains are capital gains in nature: file ITR-2. If you trade daily or weekly with a profit motive, you may be running a business: file ITR-3. Either way, the 30 percent rate, the cost-only deduction and the no-set-off rules apply identically, so the classification changes the paperwork, not the arithmetic.

One-line summary of this chapter: if ownership of a token leaves you or arrives to you, assume tax. The only benign movements are between your own wallets.

CHAPTER 5

5. Airdrops, Staking, Mining, Gifts and DeFi

Everything before this chapter dealt with tokens you bought. But a lot of crypto arrives without being bought: airdropped by projects, earned by staking, mined, or given by a friend. These follow a two-step pattern that many investors miss entirely, and which the department can see in exchange-reported data.

The two-step tax

Step one happens when free tokens land in your wallet. Their fair market value on that day is income under 'income from other sources' (for gifts, under Section 92 of the new Act, the old Section 56(2)(x)), taxed at your normal slab rate, not at 30 percent. Step two happens when you sell those tokens. Your gain is the sale price minus that same fair market value, and that gain is taxed at 30 percent. The value you already paid tax on becomes your cost of acquisition, so you are not taxed twice on the same rupee.

Airdrops, worked example

A project airdrops tokens worth Rs. 40,000 into Neha's wallet in June 2026. She reports Rs. 40,000 as other income and, at the 20 percent slab, pays Rs. 8,000 on it. In February 2027 she sells the tokens for Rs. 80,000. Her VDA gain is Rs. 80,000 minus Rs. 40,000, that is Rs. 40,000, taxed at 31.2 percent: Rs. 12,480. Total tax on the whole journey: Rs. 20,480 on a Rs. 80,000 windfall. If she had ignored the airdrop at receipt and declared nothing, the department's exchange data could show an Rs. 80,000 sale with zero reported income behind it, a classic mismatch notice.

Staking rewards

Staking rewards follow the same pattern as airdrops: the fair market value of tokens credited to you is other-source income when credited, and that value becomes the cost basis for the eventual sale. If your staking is regular and substantial, a tax officer may argue it is business income, which changes the label and the ITR form, but not the receipt-side taxation or the 30 percent on later transfers.

Mining

Mined coins are income at fair market value when you receive them. Here is the harsh part for miners: electricity, hardware and internet costs cannot be deducted against mining income under the VDA regime. If mining is genuinely your business, with regularity and commercial organisation, there is an argument for business-income treatment with normal expense deduction, but this area is legally unsettled and you should not attempt it without a CA. For most small miners, the safe route is: value at receipt is income, that value is the cost basis, later sale gains are taxed at 30 percent.

Gifts: Section 92 (the old 56(2)(x))

If you receive crypto as a gift from someone who is not a relative, and the aggregate fair market value of such gifts in the year exceeds Rs. 50,000, the entire value is taxable in your hands as income from other sources, at your slab rate. The exempt cases: gifts from specified relatives (spouse, siblings, parents, and lineal ascendants and descendants of yourself or your spouse), gifts received on the occasion of marriage, inheritance under a will, and gifts from registered charitable institutions.

Two mechanics matter. First, the threshold is aggregate per year across all such gifts, not per gift, and it is a cliff: cross Rs. 50,000 and the whole amount is taxable, not just the excess. Second, when you later sell a gifted token, your cost of acquisition is the donor's original cost, not the value at the time of the gift. A gift from a spouse carries the family's original cost basis forward.

Example: Arjun receives 0.2 Bitcoin from a college friend when Bitcoin is worth Rs. 30,00,000 per coin, so the gift is worth Rs. 6,00,000. Since a friend is not a relative and the value exceeds Rs. 50,000, Arjun reports Rs. 6,00,000 as other-source income at his slab rate. If the friend originally bought that Bitcoin for Rs. 4,00,000, Arjun's cost basis is Rs. 4,00,000 when he eventually sells.

DeFi yield

Lending returns, liquidity provision fees and yield-farming rewards are, by their nature, receipts of value. The mainstream professional treatment is the same two-step: fair market value at receipt is other-source income (or business income if you are running the activity at scale), and each disposal is a 30 percent event. DeFi activity usually happens in self-custodied wallets, which means no exchange reports it for you, but wallet addresses are permanent public records, and on-chain analytics can tie them to your KYC'd exchange accounts. Non-reporting is not anonymity.

Honest note on unsettled areas

India's VDA law is only four years old and some receipts are genuinely grey: how exactly to value illiquid tokens, whether certain promotional rewards are gifts or service income, and business versus capital treatment for mining are all still argued among professionals. The approach in this chapter is the conservative mainstream one that tax firms in India recommend: tax receipts at fair market value, keep the value as your documented cost basis, and disclose rather than hide. When the amounts are material, get a professional opinion; litigation risk on grey areas is real, and penalties for under-reporting can reach 200 percent of the tax shortfall.

Golden rule for free crypto: the day it lands in your wallet, capture its rupee value and a screenshot. That one number decides both the income you declare and the cost basis you will one day claim.

CHAPTER 6

6. The 1 Percent TDS Machine

Since 1 July 2022, every transfer of a VDA attracts tax deducted at source at 1 percent, under Section 393(1) of the new Act (the old Section 194S). TDS is deducted on the transaction value, not on the profit, and it is not an extra tax: it is an advance credit against your final liability. But its design hides several duties that fall directly on you, and getting those wrong is what turns a routine filing into a notice.

How it works on an Indian exchange

When you sell on a registered exchange such as CoinDCX, WazirX, ZebPay or CoinSwitch, the exchange acts as the deductor on the buyer's behalf and deposits the 1 percent with the government. The deduction appears against your PAN in Form 26AS and in the Annual Information Statement (AIS), and the exchange provides a TDS report you can download with your annual statement. For exchange trades, you have nothing to do at the moment of sale except understand that roughly 1 percent less lands in your account.

The thresholds

Buyer category	TDS applies above (per financial year)
Specified person: individual or HUF with no business income, or business turnover up to Rs. 1 crore / professional receipts up to Rs. 50 lakh	Rs. 50,000 of aggregate consideration
Everyone else, including companies and firms	Rs. 10,000 of aggregate consideration

Two clarifications from CBDT Circular 13 of 2022 matter. The threshold is aggregate per buyer per year, not per transaction. And on exchange trades, TDS applies from the first rupee, because the exchange deducts in its own capacity; the Rs. 50,000 relief exists mainly for peer-to-peer buyers. If your PAN is not furnished to the deductor, Section 206AA pushes the rate up sharply. Separately, Section 206AB, which once raised TDS for people who had not filed returns for two years, was removed with effect from 1 April 2025, so your filing history no longer changes your TDS rate.

TDS is a credit, not a tax

When you file your return, the TDS shown in Form 26AS is credited against your total tax. Since your real rate on gains (31.2 percent) is far higher than 1 percent of the sale value, TDS usually covers only a slice of your liability, and you pay the balance as advance or self-assessment tax. But for investors who sold at a loss, or whose overall income is low, TDS often exceeds the tax due, and the excess is refunded after the return is processed. None of that happens automatically: you must report the income in Schedule VDA and claim the credit in the return, and the refund follows only after e-verification and a pre-validated bank account.

The P2P trap: when you are the deductor

In a peer-to-peer trade, buyer to seller with no exchange in between, the law makes the buyer responsible for deducting the 1 percent. CBDT Circular 14 of 2022 set out how: you deduct, deposit it with the government using challan ITNS-281 by the 7th of the following month, file the quarterly statement in Form 26QE (within 30 days of quarter-end for specified persons), and issue a certificate to the seller. If you ignore this, you can be treated as an assessee-in-default, with interest and penalty.

In a token-for-token swap, both sides are simultaneously buyer and seller for the opposite leg, and both must deduct. In practice this is nearly unworkable between friends, which is exactly why professionals advise keeping token swaps on an exchange that handles TDS, rather than doing them informally.

Why active traders feel TDS the most

Because TDS is 1 percent of every sale value, not of profit, a high-frequency trader who churns a portfolio repeatedly can see a large share of capital locked up as TDS credits through the year. An investor who sells once recovers the credit at refund time; a trader who sells weekly waits for the refund cycle with working capital tied up. This cash-flow friction, more than the 30 percent itself, is what pushed a large share of Indian volume toward foreign platforms, and it is why the government held the TDS rate at 1 percent through Budget 2026-27 despite industry requests for relief.

Reconciling before you file

- Download the TDS report from every exchange you used; it lists dates, sale values, TDS, the exchange's TAN and your PAN.
- Open Form 26AS and the AIS on the e-filing portal and look for the Section 194S (or 393) entries.
- Match every AIS crypto entry to a row you will declare in Schedule VDA. Any sale visible to the department but missing from your return is a mismatch waiting to become a notice.
- If an entry is wrong (wrong PAN mapping, double-counted sale), raise AIS feedback on the portal and follow up with the exchange before filing, not after.

Think of TDS as the government's receipt for your trades. Every deduction is a data point the department will match against your return, so treat your Form 26AS as the skeleton of your Schedule VDA.

CHAPTER 7

7. Foreign Exchanges, P2P and the Coming Data Wall

The 1 percent TDS made foreign platforms attractive in one narrow sense: they do not deduct it. Roughly 73 percent of Indian VDA trading volume was flowing through foreign exchanges at the time of the Budget 2026-27 debate in Parliament. But trading offshore never made the trades tax-free; it only shifted every single compliance duty onto you. And from April 2027, the data wall closes: under the OECD's Crypto-Asset Reporting Framework, foreign platforms will hand your transaction history to the CBDT.

Your global income is taxable

If you are a resident of India, all your income is taxable here, including gains made entirely on foreign platforms. Selling Bitcoin on an offshore exchange and withdrawing abroad changes nothing. The 30 percent applies, the Schedule VDA reporting applies, and, because no TDS was deducted anywhere, you owe the whole tax through advance tax or self-assessment tax. Residents who ignore foreign-exchange gains are not reducing their tax; they are deferring it with interest and penalties attached.

The self-deduction duty when you buy abroad

Here is the part almost nobody knows: when an Indian resident buys crypto from a non-resident seller on a foreign exchange, the buyer's TDS duty under the law remains. The foreign platform will not do it, so the obligation falls on you: deduct 1 percent of the consideration, deposit it with the government (challan ITNS-281 by the 7th of the following month), and file Form 26QE on the e-filing portal. Where the seller's PAN is not available, which is the norm on offshore platforms, Section 206AA technically pushes the applicable rate up to 20 percent, an impossible demand in practice. This gap between the law and reality is real, and it is one of the strongest arguments for executing your trades on Indian, FIU-registered platforms where the exchange handles TDS for you.

Schedule FA and the Black Money Act

Residents holding crypto in foreign accounts or on foreign platforms should evaluate Schedule FA disclosure in their ITR. Non-disclosure of foreign assets can attract the Black Money Act, whose penalties and prosecution provisions are far harsher than ordinary income-tax penalties. This is an area where you should not guess: the interaction between VDA reporting, Schedule FA and the Black Money Act depends on how your offshore account is structured, and it deserves professional advice. The general professional direction: disclose. The cost of disclosure is tax; the cost of concealment discovered by CARF data can be catastrophic.

CARF: what changes in April 2027

- On 5 March 2026, the CBDT issued Notification No. 19/2026, amending Rules 114F, 114G and 114H to fold crypto-assets into the financial-asset reporting net.
- From April 2027, platforms such as Binance, Bybit, OKX and Kraken will transmit Indian users' transaction data to the CBDT under CARF.
- The data includes trades, token swaps, staking rewards and wallet transfers, the same categories Indian exchanges already report through Form 167.
- The G20 New Delhi Leaders' Declaration in 2023, under India's presidency, called for swift CARF implementation, which is why India's plumbing is ready early.

The practical meaning: your offshore 2025 and 2026 trades will become visible. If those years' returns are already filed and wrong, you still have the updated-return window under Section 139(8A), described in chapter 10, to fix them before the department finds them for you.

Peer-to-peer trades in India

P2P rupee-for-crypto trades with resident counterparties are fully taxable and carry the buyer-side TDS duty described in chapter 6. The sale leg is invisible to Form 26AS (no exchange deducted anything), which is precisely why officers cross-check bank credits: large recurring inward credits from many individuals, matched against an AIS that shows crypto purchases, tell a story on their own. Declare P2P activity honestly and the paper trail supports you; hide it and every other data point becomes evidence.

FIU-IND registration: choosing a compliant platform

Every crypto business serving Indian users must register with the Financial Intelligence Unit (FIU-IND) as a Virtual Digital Asset Service Provider under the anti-money-laundering framework. As of March 2026, 54 VDASPs were registered, including the major Indian exchanges, and FIU-IND had directed the takedown of 53 unregistered offshore exchange websites and apps. Using a registered platform does not change your tax, but it does mean TDS is handled, statements are available in one place, and your counterparty is subject to Indian reporting obligations. Trading on unregistered platforms carries regulatory and legal risk of its own, separate from tax.

Strategy in one line: trade on registered Indian platforms where possible, self-report everything anyway, and treat any foreign platform activity as fully visible to the department from April 2027.

CHAPTER 8

8. Filing the Return: Schedule VDA, Step by Step

This is the chapter you will reread every July. It walks through the filing process for crypto income, from choosing the form to pressing submit, with the traps marked.

First, pick the right form

Form	Use it when	Schedule VDA available
ITR-1	Never, if you have VDA income	No
ITR-2	Investor: salary, house property, capital gains, VDA gains; no business income	Yes
ITR-3	Trader or business income, including substantial crypto activity	Yes
ITR-4	Presumptive scheme filers	Not suitable for VDA income

Filing ITR-1 with crypto income is not a technicality; the form simply cannot carry VDA income, so the department's system sees the AIS entries and no matching income. If you hold for months and trade a few times a year, ITR-2 fits. If you trade most weeks, treat it as a business and file ITR-3. Either way the tax rate on gains is the same 30 percent; the form only changes where the income sits.

What Schedule VDA demands

Schedule VDA is transaction-level, not aggregate. One row per transfer. For each row you enter: the name or type of the VDA; the date of acquisition; the date of transfer; whether it is capital gains or business income; the cost of acquisition in rupees; the consideration received in rupees; and the income from that transfer. You cannot enter one net figure for the year, and you cannot bunch a coin's trades into a single row if the acquisition dates differ.

The loss rule inside the schedule catches people every year: a row that results in a loss is entered as nil, not as a negative number. Gains are never reduced by losses, between coins or within the schedule. Only the positive gains flow into the tax computation.

The ten-step filing process

- 1 Collect the year-end statement from every exchange you used, including the profit-and-loss report and the TDS report.
- 2 List every transfer in one spreadsheet: date acquired, date transferred, token, quantity, cost in rupees, consideration in rupees, gain or loss.
- 3 Add every swap as a row (sale of what you gave, purchase of what you got), and every foreign-platform and P2P sale.

- 4 Add receipt-side income from airdrops, staking and gifts to the other-sources section, with the fair market value on the receipt date.
- 5 Download Form 26AS and the AIS from the e-filing portal; tick off every 194S entry against your spreadsheet. Resolve mismatches with the exchange and through AIS feedback before filing.
- 6 Choose ITR-2 or ITR-3 based on your activity profile, and complete the rest of the return (salary, other income) first.
- 7 Fill Schedule VDA row by row; enter loss rows as nil.
- 8 Add your TDS credits in the taxes-paid schedule so they match Form 26AS to the rupee.
- 9 Compute the balance tax after TDS; pay it as self-assessment tax (challan ITNS-280, payment type 300) before you file, and enter the challan details.
- 10 Submit, and e-verify within the deadline. An unverified return is treated as not filed.

The six mistakes that generate notices

- Netting gains and losses across coins before entering them. The schedule does not allow it; netting is the most common defective-return and mismatch trigger.
- Deducting gas and exchange fees from the gain. Only the cost of acquisition is deductible.
- Skipping crypto-to-crypto swaps because no rupees arrived. Every swap is a taxable sale.
- Assuming the 1 percent TDS settled the tax. TDS is a fraction of a 31.2 percent liability; the balance is yours to pay.
- Forgetting Schedule FA for foreign-platform holdings.
- Filing ITR-1 or ITR-4 because it is quick. The form cannot hold VDA income, and the data mismatch surfaces automatically.

Omitting the schedule entirely when you have VDA income makes the return defective under Section 139(9) of the 1961 Act's numbering (the new Act carries the concept forward), and the department can require you to fix it within a window. None of these mistakes is malicious; all of them are visible. That combination, innocent and detectable, is exactly what the current data-matching drives are built to find.

Block a full evening, not the last hour of the deadline. Almost every crypto notice begins as a rush job in the last week of July.

CHAPTER 9

9. Advance Tax and Paying the Balance

Crypto tax is not a July problem; it is a four-times-a-year problem. If your total tax after TDS credits exceeds Rs. 10,000 for the year, you owe advance tax in instalments, and missing them adds interest of 1 percent per month even if you pay before filing.

The instalments

Due date	Cumulative advance tax due
15 June	15% of the year's estimated tax
15 September	45%
15 December	75%
15 March	100%

Estimate your annual tax: slab-rate tax on your regular income, plus 31.2 percent (or the surcharged rate from chapter 3) on expected VDA gains, plus slab-rate tax on expected receipt-side income, minus expected TDS credits. Pay through the year so each deadline is met. If your income is mostly salary, your employer's withholding usually covers the non-crypto part, and you add the crypto portion yourself.

A worked example

Kavya expects for the year: salary income putting her in the 20 percent slab with Rs. 60,000 of salary tax already withheld, and VDA gains she estimates at Rs. 2,00,000. Her crypto tax is 31.2 percent of Rs. 2,00,000, about Rs. 62,400. Expected TDS credits are Rs. 9,000 (1 percent of Rs. 9 lakh of planned sale values). Her remaining tax is roughly Rs. 1,13,000, well above Rs. 10,000, so advance tax applies. She pays about Rs. 17,000 by 15 June, roughly Rs. 34,000 more by 15 September, and tops up through the later instalments as her actual gains firm up. When she files in July, the small difference between estimate and reality is settled with the return.

If you skip the instalments

Interest runs at 1 percent per month, computed per instalment you missed, under the provisions the new Act carries forward (the old Sections 234B and 234C). A deferred payment also draws interest under Section 234A if the return itself is late. The interest is not enormous on small portfolios, but it is automatic and non-negotiable, unlike penalties, which need an officer's decision.

Paying before filing: self-assessment tax

Whatever balance remains after TDS and advance tax is self-assessment tax, paid through challan ITNS-280 with payment type 300, before or at the time of filing. Enter the challan's BSR code and serial number in the return so the payment is matched. This is the step people forget when they file early: a return filed with tax still unpaid starts accruing interest from the filing date, not from whenever you remember.

When you are owed a refund

If your TDS exceeds your total tax, common for investors who sold at a loss or whose total income is small, the excess is refunded after the return is processed. Three conditions speed it up: the return is e-verified promptly, the bank account linked to your PAN is pre-validated on the portal, and the TDS claimed exactly matches Form 26AS. Refunds typically arrive within a few weeks of processing. Track the status on the portal under the refund status view.

Set calendar reminders for 10 June, 10 September, 10 December and 10 March each year. The five days of buffer turn the instalments into a ten-minute job instead of a missed-deadline penalty.

CHAPTER 10

10. Notices, Penalties and the Escape Hatch

In September 2026 the Income Tax Department started sending crypto compliance notices to thousands of taxpayers, matched from TDS filings, AIS entries and exchange data for earlier years. If you did not report crypto income fully in past returns, or if a notice is already in your inbox, this chapter is your map. None of it is legal advice for your case; it is the terrain so you know when to act and when to get a CA.

The notice you are most likely to receive

The first contact is usually an intimation or mismatch communication: the department's system compared third-party data with your return and found a gap, typically TDS or AIS crypto entries with no matching VDA income. Handled quickly and honestly, these close without drama. The serious escalations follow only if the gap is ignored.

Provision	What it means
143(1) intimation	Automated processing notice; may carry a demand when declared data mismatches third-party data.
143(2) scrutiny	Your return is selected for detailed examination; documents and explanations are called for.
148 reassessment	The department believes income escaped assessment; older years can be reopened.
234A / 234B / 234C interest	1% per month for late filing, late payment, or missed advance-tax instalments.
270A penalty	50% of tax on under-reported income; up to 200% where under-reporting is deliberate.
276C prosecution	Wilful attempt to evade tax; reserved for concealment, not errors made in good faith.

If a notice arrives: the first seven days

- 1 Log in to the e-filing portal and read the notice under the 'Pending Actions' or compliance section; never rely only on an email summary.
- 2 Identify the section, the assessment year and the response deadline, and note them on paper.
- 3 Download the AIS, Form 26AS and your old returns and exchange statements for that year.
- 4 Rebuild the year's crypto computation honestly, including swaps and receipt-side income.
- 5 Quantify the gap: unreported gains, wrong rate applied, missing schedule, or a reporting error by the exchange.
- 6 If the gap is yours, plan the fix: an updated return if the window is open, or tax payment with the response.

- 7 Respond on the portal within the deadline. If the amounts are material or the notice is a scrutiny selection, engage a CA before responding, and never ignore a notice to see if it goes away; it will not.

The escape hatch: the updated return

The updated return provision (Section 139(8A) of the 1961 Act, carried into the new law) lets you fix a past return yourself, within 24 months from the end of the relevant assessment year. You pay the extra tax with the update, plus a mandatory additional payment: 25 percent of the tax and interest if you file within 12 months, and 50 percent if you file between 12 and 24 months.

Example: Sunil realises his FY 2023-24 return missed Rs. 1,50,000 of crypto gains. The tax is about Rs. 46,800, plus interest. He files an updated return within the 12-month window, adding roughly Rs. 11,700 (25 percent) as the additional payment. Total cost of coming clean: about Rs. 58,500. Had he waited for the department to find it, the same income could draw a 50 percent penalty of around Rs. 23,400 on the tax shortfall, plus interest, plus the scrutiny process. Voluntary is almost always cheaper than discovered.

The window is powerful because it stacks with the CARF timeline: offshore trades from the last two years become visible to the department in 2027, but the updated-return window for those years is open now. Updating before the data arrives is the difference between an error you corrected and an evasion the algorithm found.

What NOT to do

- Do not file a fresh original return for a year already filed; the update mechanism is the correct route.
- Do not 'adjust' the numbers so the tax stays the same; the department has the third-party data.
- Do not reply to a notice by email alone; responses belong on the portal, within the deadline, with attachments.
- Do not assume small amounts are beneath notice; the matching is automated and threshold-blind for visibility, even if enforcement focuses on larger cases.

The pattern in every crypto penalty story is delay. The window to fix things cheaply, the updated return, is open now. Use it before CARF data and exchange reports close the ambiguity in the department's favour.

CHAPTER 11

11. The Records You Must Keep

Under the VDA regime, your tax bill is decided by two numbers per transaction, cost and consideration, and your defence against every notice is the paperwork connecting them. Since only the cost of acquisition is deductible, an undocumented cost is an expensive assumption. Build the record habit once and it runs itself.

The master checklist

- Date and time of every transaction.
- Name, type and quantity of each crypto-asset.
- Acquisition cost and transaction value, in rupees.
- Fair market value of the crypto received in any crypto-to-crypto trade.
- Fees, brokerage and other transaction charges (not deductible, but needed for reconciliation).
- Exchange statements and downloadable annual reports from every platform you used.
- Wallet addresses and transaction IDs for transfers to self-custodied wallets.
- Records of transfers between exchanges and personal wallets, with dates.
- The valuation source used for illiquid tokens (which aggregator or exchange price you relied on).
- TDS certificates, Form 26AS copies and AIS copies, saved each year.
- Screenshots of airdrop and staking receipts showing the rupee value on the day of receipt.

A simple spreadsheet that survives audits

Date	Event	Token / qty	Value (Rs.)	Cost basis / notes
2026-06-14	Bought on CoinDCX	BTC 0.05	3,10,000	Cost of acquisition
2026-07-02	Moved to hardware wallet	BTC 0.05	3,22,000	Self-transfer, not taxable, TXID saved
2026-08-19	Airdrop received	XYZ 4,000	40,000	Other-source income at FMV
2027-01-11	Swapped ETH for SOL	ETH 1.2 / SOL 48	2,90,000	ETH transfer taxable; SOL cost 2,90,000
2027-02-20	Sold on ZebPay	SOL 48	3,35,000	Gain 45,000, TDS 3,350

Five columns, one row per event, every year. When Schedule VDA asks for dates, cost and consideration, you copy rows; when a notice asks how you computed 2024's gains, you produce the sheet. Keep it in cloud storage with the exchange PDFs; the law's record-keeping expectations for reporting entities run seven years, and defending an old year against reassessment needs the same depth.

Where to get each document

Document	Where to get it
Annual trade / P&L; statement	Reports section of each exchange, per financial year, tagged to your PAN
TDS report	Separate from the P&L; shows transaction dates, sale values, TDS, exchange TAN
Form 26AS	e-filing portal, under 'View/Form 26AS', or via TRACES
AIS / TIS	e-filing portal, 'View Annual Information Statement'; submit feedback on wrong entries here
TDS certificate (Form 16A / 16E)	From the deductor: exchange, or you as P2P buyer
e-verification and ITR-V copies	e-filing portal, 'View Filed Returns'

Record discipline for receipt-side income

Airdrops and staking rewards are the most under-documented category because nothing was 'paid'. The discipline: on the day tokens land, record the rupee value from the exchange or a public price source, screenshot it, and file it with the transaction ID. That single capture is both the income you declare this year and the cost basis you claim in a future year; reconstructing it two years later, after the token's price has moved, is guesswork the department is entitled to reject.

The cheapest tax software you own is a spreadsheet filled in on the day of each trade. Every rupee of documentation is worth several rupees of avoided penalty and professional time.

CHAPTER 12

12. Fifteen Situations, Worked Through

Rules stick better when you see them land on someone's portfolio. These fifteen situations cover the patterns that make up almost every Indian crypto tax question. Find the one closest to your situation, then trace the numbers onto your own records.

The first-time investor

Meera bought Rs. 25,000 of Bitcoin in May 2026 and sold it for Rs. 34,000 in March 2027. Her gain is Rs. 9,000, tax is 31.2 percent of it (Rs. 2,808), the exchange deducted roughly Rs. 340 as TDS on her sale, and she claims that credit. Her total tax is small, but the reporting duty is identical to a crorepati's: ITR-2, Schedule VDA, one row, done in ten minutes.

The swap-heavy trader who never withdrew

Vikram started with Rs. 2,00,000 in Ethereum and rotated between altcoins eleven times through the year, ending with a portfolio worth Rs. 3,10,000 without withdrawing a rupee. Each rotation was a sale of what he gave plus a purchase of what he got, so he has eleven taxable gains, not zero. Summing the gains on each leg gives his year's VDA income (each leg computed on its own rupee values), and the whole 31.2 percent is payable even though the money never left crypto. This is the single most common way traders under-report.

The loss-maker expecting a refund

Farah bought Rs. 1,50,000 of altcoins and sold them for Rs. 90,000. She has no gain to tax, but the exchange deducted 1 percent on her sales (about Rs. 900). She files ITR-2 with every loss row entered as nil, claims the Rs. 900 against her (small) salary tax, and the excess is refunded. Skipping the return means donating the TDS to the government and leaving an AIS-vs-return mismatch on file.

The staker with monthly rewards

Dev stakes Rs. 2,00,000 worth of tokens and receives rewards worth Rs. 3,500 each month. Each month's Rs. 3,500 is other-source income at his slab rate, so Rs. 42,000 of the year is slab-taxed. The FMV of each reward when credited becomes his cost basis per lot, so when he eventually sells, each disposal's gain is sale value minus the corresponding receipt value. Two taxes, two different rates, zero double counting.

The airdrop that became serious money

Nisha's 2025 wallet got an airdrop then worth Rs. 20,000; by 2027 the tokens are worth Rs. 4,00,000. If she declared the Rs. 20,000 as income in the year of receipt, her sale gain is Rs. 3,80,000 at 30 percent (plus cess). If she never declared the receipt, she has no clean cost basis, and the honest fix is an updated return for the receipt year (with the 25 percent additional payment if the window is still under 12 months) before claiming the cost.

The P2P buyer who did not know about Form 26QE

Sameer bought USDT worth Rs. 80,000 from a friend via bank transfer, twice, in one year. As the buyer in P2P transactions above the Rs. 50,000 aggregate threshold for specified persons, the duty to deduct 1 percent TDS, deposit it by the 7th of the following month and file the quarterly Form 26QE was his. He did not know. The fix: compute, deposit with interest exposure acknowledged, file late, and keep records; penalties for short failure are negotiable through response, concealment is not.

The foreign-exchange user waiting for CARF

Rhea traded on an offshore platform through 2025-26 and declared nothing anywhere. Her returns so far understate income. The CARF data flows begin April 2027, and her platform is a participating one. Her cheapest exit is an updated return for each affected year now, paying the tax with the 25 percent (or 50 percent, depending on the year) additional payment, before the department's data arrives with her name in it.

The recipient of a wedding gift in crypto

Aditi received 0.15 Bitcoin from a cousin (a relative's lineal descendant of her grandparent, so a specified relative under the gift rules) on her wedding. Gifts from specified relatives and gifts on marriage are exempt at receipt. Her cost basis when she later sells is the cousin's original purchase price, so she needs the cousin's purchase records, not just the gift-day value.

The miner with real electricity bills

Harsh mines from home and earns coins worth Rs. 60,000 in the year, with Rs. 25,000 of electricity. The conservative route: report Rs. 60,000 as income at fair market value on receipt; the Rs. 25,000 electricity is not deductible against it under the VDA regime. If his operation is substantial and organised, he should take professional advice on business-income treatment with expense deduction, an area the law has not settled.

The salaried employee with a one-off big gain

Kabir earns Rs. 12 lakh in salary and made a Rs. 3,00,000 crypto gain. Salary is taxed at slab rates as usual; the crypto gain is taxed at 31.2 percent on top. He checks advance tax: his employer's withholding covers the salary, but the crypto portion needs instalments. Ignoring them costs 1 percent per month from each missed instalment date.

The DeFi liquidity provider

Ishita supplied tokens to a protocol and received liquidity pool tokens plus fees. Each fee receipt is income at fair market value on the day it landed. Depositing tokens into the pool and receiving pool tokens in exchange is generally treated as a disposal of the deposited tokens (a transfer), which professionals flag as an unsettled grey area; the safe reading for a material position is to treat it as taxable and document the values. Exit fees and impermanent loss reduce nothing under the current rules.

The parent consolidating a child's small portfolio

Rohit's college-going daughter has Rs. 15,000 of crypto from her savings. Gains are taxed at 31.2 percent in her hands regardless of her age or income (the basic exemption does not shield VDA gains). If she has no other income, a return may still be needed to report the transfers and claim any TDS refund. Gifting between parent and child is exempt at receipt, but the child's cost basis becomes the parent's original cost.

The NFT artist who sold a piece

Ananya minted an NFT that sold for Rs. 90,000 in crypto. The sale proceeds are her income (business income, slab rate, as a creator earning from her work), and the crypto she received becomes her holding with a cost basis of Rs. 90,000. When she converts it to rupees at Rs. 96,000, the Rs. 6,000 difference is a VDA gain at 30 percent. Future royalties from resales are income too, as they arrive.

The person who inherited crypto

Vivek's late father held Bitcoin bought for Rs. 2,10,000, now worth Rs. 9,00,000. Inheritance is an exempt receipt. Vivek's cost basis is his father's Rs. 2,10,000, so a sale now creates a Rs. 6,90,000 gain at 31.2 percent. He needs the father's purchase records, which is one more reason families should document crypto holdings like any other asset.

The one who received a notice this September

Tanvi got an intimation: TDS entries exist against her PAN for a year she declared nothing. Week one: she downloads the AIS and that year's exchange statement, rebuilds the computation, and finds she genuinely owes tax on Rs. 1,10,000 of gains. She pays the tax with interest, files an updated return inside the window with the 25 percent additional payment, and responds to the notice on the portal with the computation attached. The notice closes. The sequence that ends badly is the same first step followed by silence.

CHAPTER 13

13. Your FY 2026-27 Calendar and Ten Rules

Everything in this book compresses into a handful of dates and habits. This chapter is the one to photograph and keep on your phone.

The year at a glance

Date	What is due
Through the year	Record every trade in your spreadsheet on the day it happens
Within 30 days of each month-end	Form 26QE, if you bought crypto from non-residents or P2P and had to self-deduct TDS
15 June 2026	Advance tax instalment 1 (15%)
15 September 2026	Advance tax instalment 2 (45% cumulative)
31 December 2026	Belated / revised return window for FY 2025-26 closes
15 December 2026	Advance tax instalment 3 (75% cumulative)
31 December 2026	Exchanges complete due diligence on all pre-existing users (the 31 Dec 2026 internal deadline in the reporting rules)
15 March 2027	Advance tax instalment 4 (100% cumulative)
31 July 2027	ITR filing deadline for income of 1 April 2026 to 31 March 2027, non-audit taxpayers
31 May 2027	First Form 167 statements, covering calendar 2026, due from platforms

If you are reading this after a date has passed, do not freeze: pay what is due now. Interest accrues monthly, so late is expensive but much less expensive than never, and the voluntary routes (updated return, response to notice) stay open.

Ten rules that cover everything else

- 1 Assume the department sees every trade. Exchanges report; TDS reports; foreign platforms start reporting in 2027. File accordingly.
- 2 Compute every gain at 30 percent plus cess, using only the cost of acquisition, and never net losses against gains.
- 3 Treat every swap as a sale plus a purchase, even when no rupees moved.
- 4 Capture the rupee value of every airdrop, staking reward and gift on the day it arrives; it is income now and cost basis later.
- 5 Check Form 26AS and the AIS before every filing, and resolve mismatches with the exchange first, through AIS feedback.
- 6 Pay advance tax in four instalments if post-TDS liability exceeds Rs. 10,000 for the year.

- 7 Never file ITR-1 or ITR-4 with crypto income; use ITR-2 as an investor, ITR-3 as a trader.
- 8 If past returns are wrong, use the updated-return window within 24 months rather than waiting to be found.
- 9 Keep your own records for at least seven years, independent of what any exchange keeps.
- 10 For large, unusual or foreign-heavy situations, hire a CA. The fee is a rounding error against a 50 to 200 percent penalty.

A closing word

India's crypto tax regime is harsh, and no playbook makes 31.2 percent feel pleasant. But the regime is also mechanical, visible and predictable, which means compliance is entirely within your control. The investors who get hurt in 2027 will not be the ones who paid the most tax; they will be the ones who assumed their trades were invisible. Every tool you need to be in the other group, the filed, reconciled, documented group, is in these thirteen chapters.

CHAPTER A

A. Appendix A: Section-Number Crosswalk

The Income-tax Act, 2025 renumbered everything from 1 April 2026. Through 2027 you will encounter both numbering systems in articles, software, statements and notices. This table maps the VDA-relevant provisions you will actually meet.

What it does	1961 Act	2025 Act
Defines virtual digital asset	Section 2(47A)	Section 2(111)
30% flat tax on VDA transfer income	Section 115BBH	Section 194(1)
1% TDS on VDA transfers	Section 194S	Section 393(1)
Tax on gifts and receipts without consideration	Section 56(2)(x)	Section 92
Exchanges' transaction reporting duty	Section 285BAA	Section 509
Penalties for reporting failures	Section 271K	Section 446
Interest on delayed TDS deposit	Section 201(1A)	Section 397
Penalty for failure to deduct TDS	Section 271C	Section 476
Defective return	Section 139(9)	Carried forward in the new Act
Updated return	Section 139(8A)	Carried forward in the new Act

Two terminology shifts ride along: the new Act uses 'Tax Year' in place of 'Assessment Year' and 'Previous Year', and groups several old sections under consolidated headings. When your exchange statement cites the old Section 194S and the department portal cites Section 393, they are the same deduction at the same 1 percent.

CHAPTER B

B. Appendix B: Quick-Reference Tables

Rates and limits

Item	Number
Flat tax on VDA transfer gains	30% + surcharge + 4% cess
Effective rate, income below Rs. 50 lakh	31.2%
TDS on VDA transfers	1% of consideration
TDS threshold, specified persons	Rs. 50,000 per year
TDS threshold, others	Rs. 10,000 per year
Advance tax trigger	Tax after TDS above Rs. 10,000
Gift tax threshold (Section 92)	Rs. 50,000 aggregate per year
Updated-return window	24 months from end of assessment year
Additional payment on updated return	25% (12 months) / 50% (12-24 months)
Penalty on under-reported income	50%, up to 200% if wilful

Forms and what they do

Form	Purpose	Who files it
ITR-2 / ITR-3	Income tax return with Schedule VDA	You
Schedule VDA	Transaction-level VDA reporting inside the ITR	You
Form 26AS	Consolidated TDS credit statement	View only
AIS / TIS	Annual Information Statement of reported transactions	View and give feedback
Form 26QE	Quarterly TDS statement for specified-person buyers	You, in P2P / offshore buys
Form 16E	TDS certificate issued to the seller	You, as P2P deductor
Form 167	Crypto-asset transaction statement, CY 2026 onwards	Reporting platforms
Challan ITNS-281	TDS deposit	Deductors, including you in P2P
Challan ITNS-280 (300)	Self-assessment tax payment	You

Who does what

Duty	Who performs it
Deduct 1% TDS on exchange trades	The exchange, on the buyer's behalf
Deduct 1% TDS on P2P and offshore buys	You, the buyer
Report user transactions in Form 167	Reporting Crypto-Asset Service Providers
Report gains in Schedule VDA	You
Reconcile AIS / 26AS before filing	You
Share offshore data with CBDT from 2027	Foreign platforms, under CARF

CHAPTER C

C. Appendix C: Fifteen Questions Investors Ask Most

Q. I only invested Rs. 5,000 in crypto. Do I really need to report it?

Yes. There is no minimum threshold for reporting VDA transfers, and the 30 percent applies from the first rupee of gain. The exchange reported your trades and TDS regardless of size. The effort is one extra schedule; the cost of skipping it is disproportionate.

Q. I traded only on a foreign exchange and never withdrew to India. Is it taxable?

As an Indian resident, your worldwide income is taxable here, including gains that never reached an Indian bank account. From April 2027, foreign platforms share Indian users' data with the CBDT under CARF, so use the updated-return window before that data arrives.

Q. I made a net loss overall. Do I owe anything?

Probably not on the gains (there are none), but the TDS already deducted becomes a refund you claim only by filing a return with the losses shown correctly, each row's income as nil. If TDS was never deducted because you traded offshore, there is no refund, only the obligation to report.

Q. Can I set off my crypto loss against share gains?

No. VDA losses cannot be set off against any other income, and cannot be carried forward. They expire with the year.

Q. What if I received crypto from my spouse or parents?

Gifts from specified relatives, and gifts received on marriage, are exempt at receipt. Keep in mind the cost basis you use when selling is the giver's original purchase cost, not the value on the day of the gift.

Q. My exchange deducted TDS. Is my tax done?

No. TDS at 1 percent of sale value is almost always far below the 31.2 percent (plus surcharge where applicable) owed on gains. You compute the full tax in your return, claim the TDS credit, and pay the balance.

Q. Which ITR form should I use?

ITR-2 if your crypto activity is investing (no business income). ITR-3 if you trade as a business or have other business income. Never ITR-1 or ITR-4; they cannot carry VDA income.

Q. Do I need a CA, or can I file myself?

Simple single-exchange investing with clean records is a confident DIY job using the process in chapter 8. Multiple platforms, DeFi, offshore holdings, mining at scale, or a notice in hand: engage a CA.

Q. I forgot to report crypto in my FY 2024-25 return. What now?

The updated-return window is open until 24 months from the end of that assessment year. File the update with the additional 25 or 50 percent payment before the department's data-matching reaches it; that is almost always the cheaper route.

Q. Are airdrops taxable even if I never sold the tokens?

Yes, at receipt: the rupee value on the day they landed is other-source income at your slab rate. The 30 percent VDA tax comes later, only when you sell, using that same value as your cost.

Q. Is staking taxed twice?

It is taxed twice, but on different amounts: once on the tokens' value when received (slab rate), and once on the gain between that value and your eventual sale price (30 percent). The same rupee is not taxed twice.

Q. What is the difference between the AIS and Form 26AS?

Form 26AS shows taxes deducted against your PAN. The AIS is broader: the full set of transactions third parties reported, including SFT entries, whether or not any tax was deducted. For crypto, check both; TDS appears in both, foreign-platform trades in neither, for now.

Q. Can the department really see my self-custodied wallet?

On-chain analytics can link wallet addresses to your KYC'd exchange accounts, and Form 167 reporting includes transfers to external wallet addresses. Treat self-custody as private keys, not private activity.

Q. Is the digital rupee (e-rupee) also taxed like this?

No. The central bank digital currency is excluded from the VDA definition; using it is like using cash.

Q. Where do these rules change next?

Watch three things: annual Union Budgets (the 2026-27 Budget left the regime untouched), the first Form 167 filings due 31 May 2027, and the CARF data flows from April 2027. Each can move enforcement practice; none currently changes the core rates.

CHAPTER D

D. Appendix D: Glossary

VDA (Virtual Digital Asset)	The legal term covering cryptocurrencies, NFTs and similar tokens; defined in Section 2(111) of the 2025 Act.
RCASP (Reporting Crypto-Asset Service Provider)	An exchange or similar platform required to report users' crypto transactions to the tax department.
TDS (Tax Deducted at Source)	Tax withheld by the payer and deposited with the government; for VDA transfers, 1 percent of the consideration.
AIS (Annual Information Statement)	Portal view of all transactions third parties reported about you, including crypto trades and TDS.
Form 26AS	Consolidated statement of all tax credits against your PAN; where your crypto TDS appears.
Schedule VDA	The transaction-level section of ITR-2 and ITR-3 where each VDA transfer is reported.
TDS Form 26QE	Quarterly statement a specified-person buyer files for TDS they deducted in P2P or offshore purchases.
CARF (Crypto-Asset Reporting Framework)	OECD framework for automatic international exchange of crypto transaction data; India's links activate from April 2027.
Form 167	The statement in which reporting platforms file users' crypto-asset transaction details under Section 509.
ITR-U (Updated Return)	Mechanism to correct a previously filed return within 24 months, paying 25 or 50 percent additional tax.
FIU-IND	Financial Intelligence Unit, India; registers Virtual Digital Asset Service Providers under the anti-money-laundering law.
Advance tax	Tax paid in four instalments through the year when total liability after TDS exceeds Rs. 10,000.
Self-assessment tax	Balance tax paid before filing the return, via challan ITNS-280.
Cost of acquisition	The only deduction allowed against VDA sale proceeds; what you paid, or the FMV on receipt for free tokens.
FMV (Fair Market Value)	The open-market rupee value of a token on a given date; the anchor for receipt-side income.
Specified person	Individual or HUF buyer with no business income or turnover below the tax-audit limits; enjoys the Rs. 50,000 TDS threshold.
Assessment Year / Tax Year	The year your income is assessed; the 2025 Act renames it Tax Year.
Cess	The 4 percent health and education cess added on top of income tax, including the 30 percent VDA rate.

CHAPTER E

E. Sources and Further Reading

Every rule, rate, threshold, date and enforcement fact in this playbook comes from the sources below, checked as of 28 September 2026. Where the law is genuinely unsettled, the text says so instead of smoothing it over.

- 1 Income-tax Act, 2025 (Act 30 of 2025), including Sections 2(111), 194(1), 393, 509 and 446, in force from 1 April 2026 (India Code / Income Tax Department).
- 2 Income-tax Rules, 2026, Rules 241-244 and Form 167 (reporting of crypto-asset transactions).
- 3 CBDT Circular No. 13 of 2022 (22 June 2022) and Circular No. 14 of 2022 (28 June 2022) on TDS under Section 194S.
- 4 CBDT Guidance Note for Reporting Crypto-Asset Service Providers, July 2026 (Foreign Tax & Tax Research Division).
- 5 CBDT Notification No. 19/2026 dated 5 March 2026 (amendment of Rules 114F, 114G, 114H for CARF).
- 6 Union Budget 2026-27 and Finance Bill, 2026; parliamentary debate on Virtual Digital Assets.
- 7 Finance Act, 2022 (Sections 115BBH, 194S and 285BAA of the Income-tax Act, 1961).
- 8 Mint, 'Income Tax Act 2025: What crypto investors should know about VDA provisions, TDS and ITR filing rules', 25 September 2026.
- 9 The Economic Times, 'How Bitcoin, NFTs, airdrops, gifted crypto, and overseas wallets are taxed in India and how to report them', 20 July 2026.
- 10 NDTV, 'Crypto Tax Refund In ITR 2026: Steps To Claim Your Money', 13 July 2026.
- 11 IndiaFilings, 'Crypto Tax ITR Mismatch - Updated Return Filing Guide', 16 September 2026.
- 12 Khaitan & Co, client note on Crypto-Asset Reporting Obligations, 12 August 2026.
- 13 Cyril Amarchand Mangaldas, FIG Paper No. 57: India Digital Assets Round-Up, May 2026 (FIU-IND registration data).
- 14 Cryptowire, 'India: 39M Crypto Investors, \$2.1B Held, 73% Volume Offshore', 2 August 2026 (citing Budget 2026-27 parliamentary debate and tax authority estimates).
- 15 CoinDesk / Yahoo Finance, 'India's 2026 budget keeps 30% crypto tax, adds penalties for missed reports', 1 February 2026.
- 16 KoinX, India crypto tax statistics and TDS guides for foreign exchanges (2026).

For ongoing updates, the e-filing portal's AIS and help sections, CBDT circulars published on incometaxindia.gov.in, and the reporting guidance issued to platforms are the primary

references. This playbook reflects the position as of its publication date; tax law moves, so re-verify rates and deadlines each Budget.